

## DIALING FOR DOLLARS

Once the new international consumer puts some more meat on the table, what else would make his or her life better? Being able to call friends and family on the telephone would be a big step forward. In fact, you could argue that telecommunications is both the engine and the caboose in the emergence of the international middle class. To compete on the global stage, businesses in developing countries need healthy stock markets to attract global capital. Modern telecommunications systems are a prerequisite. As efficient telecommunications systems further enhance economic growth and expand the middle class, the demand for more universal telephone service increases. Here, we need to tip our hat to Craig McCaw's evolutionary theory of time and space, which effectively jump-started the cellular telephone industry. And when it comes to developing countries, it is wireless service that will help bring telecommunications services at reasonable prices.

Arguably, telecommunications is the No. 1 global growth industry for the next decade or more. Consequently, long-term investors will not have to be terribly discriminating to earn pretty good returns in this sector. But rather than take a scattershot approach, investors might maximize their returns by focusing on those segments of the industry that will grow the fastest and the dominant players therein. The big three U.S. long distance companies, AT&T, MCI and Sprint, are rapidly developing the strategic alliances with national and local carriers around the world that should allow them to dominate the international long-distance market. Telecommunications equipment manufacturers like Lucent, the spin-off from AT&T, and Northern Telecom will play a big role in wiring the world. Suppliers of advanced cable equipment like Scientific Atlanta also have terrific international growth prospects. On the wireless side, cellular-phone makers like Motorola and Nokia should thrive. A special mention should